

7.2 TRADE BARRIERS

MARKING SCHEME

1990/AL/II/22 A	1998/AL/II/29 B	2004/AL/II/25 B (63%)	2009/AL/II/26 A (45%)	2015/DSE/I/45 D (68%)
1994/AL/II/30 B	1999/AL/II/21 D	2004/AL/II/26 B (67%)	2010/AL/II/27 A (62%)	2016/DSE/I/42 C (56%)
1996/AL/II/29 B	2000/AL/II/26 A	2007/AL/II/25 A (70%)	2012/AL/II/24 B (63%)	2017/DSE/I/42 C (57%)
1998/AL/II/28 D	2001/AL/II/11 B	2009/AL/II/25 B (77%)	2014/DSE/I/45 D (64%)	2018/DSE/I/41 D (43%)
2019/DSE/I/43 A	2020/DSE/I/43 A	2021/DSE/I/44 B	2022/DSE/I/44 D	2023/DSE/I/43 D
2024/DSE/I/43 C	2025/DSE/I/18 B	2025/DSE/I/43 C		

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1993/AL/II/5

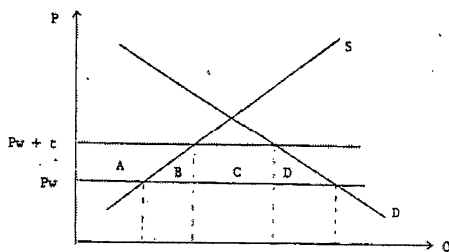


Diagram 1 : Tariff

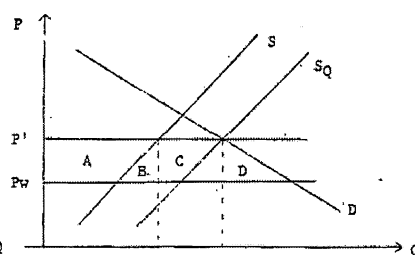


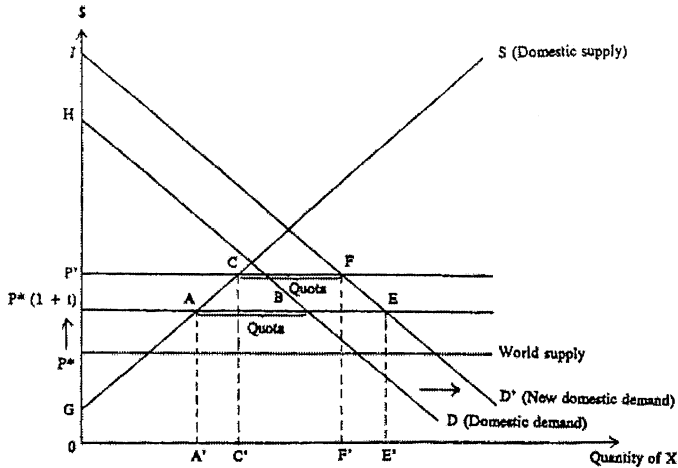
Diagram 2 : Quota

Diagram 1 summarizes the effect of a tariff:

- Area A: increase in domestic producers' surplus
- Area A + B + C + D: decrease in consumers' surplus
- Area C: tariff revenue accruing to the government
- Area B and D: deadweight loss to society

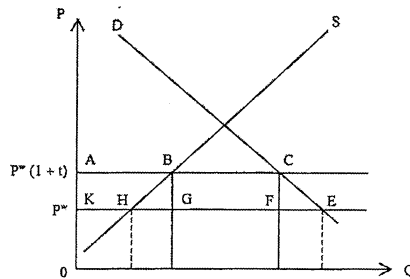
In diagram 2, a quota results in the supply curve S_Q . Areas A, [A + B + C + D], [B and D] have the same interpretation as before. C is no longer tariff revenue. C may be captured by the importers, foreign exporters or the government depending on how the import quotas are allocated.

1995/AL/II/8



- (a) Suppose the country wishes to restrict the imports of X to AB. This can be achieved by imposing a quota of AB or a tariff of t .
- (b) After the demand grows, under the original tariff rate, the price remains to be $p^*(1+t)$ and the import becomes AE. Under the original quota, the price becomes P' [higher than $p^*(1+t)$] and the import is CF ($= AB$) [smaller than AE]. The consumer surplus under the tariff system is $p^*(1+t)EJ$ [which is larger than] $P'FJ$ under the quota system.

2001/AL/II/4



In the absence of tariffs, the price in the domestic economy is P^* . After imposing tariffs, domestic price is raised to $P^*(1+t)$. Producer surplus is increased by ABHK. Consumer surplus is reduced by ACEK. Tariff revenue collected by the government is BCFG. Loss in welfare is given by BGH + CEF.

2011/AL/II/1(d)

S: examples of trade protection

D: direct vs. indirect effects on price of imports.

OR

indirect vs. direct effects on quantity of imports.

Marks

- (a) Inferior good, as people with less income during recession choose to consume more junk food.

(2)

(b) Illustrate in Figure 1

- correct position of the quota (Q_A)
- rightward shift of demand curve
- a new kinked supply curve ($S_{\text{with quota}}$)
- correct position of the final equilibrium point (E_A)

(1)

(1)

(1)

(1)

